

I'm as opinionated as anyone else. I have a broad global macro view, but I express it in a day or a few days in duration.

Does it affect your trades?

I don't let it affect my trades. I have investors visit, and when they ask me my opinion on the market, I will tell them. I may tell them that I think the broad market looks negative, and then the next month the market is up 4 percent. They will call me and ask, "How could you be up last month when you were bearish and the market rallied? And the answer is that I let the market dictate to me how I should be trading, not my macro views of what I think the market will do.

You never let your macro views influence your trading?

Infrequently. In October 2008, I did something I normally don't do—I let a market assumption that I thought was right, but ultimately proved to be wrong, influence my trading. At the time, with the U.S. in a financial meltdown, I thought that Japan would dramatically outperform the U.S. because it had already had its banking crisis. My mistake was that every hedge fund manager in the world was long Japan, Hong Kong, and China, and those markets went down more than the U.S. because they had to liquidate their positions. That trade cost me a lot.

Have the markets changed since your early days of trading?

The growing influence of high-frequency trading has changed the behavior of the market and has made it more difficult for someone like me who is a pure tape reader looking for clues in the market action. I am trying to adapt, as I always do, to changes in the market. On the other hand, the advent of electronic trading, which made high-frequency trading possible, has also been great for me.

Why is that?

Because now I don't have to talk to anyone. As you can see being up here, the phones don't ring. I can buy and sell anonymously. Before, when my orders were placed through the pit, the brokers would steal from me, and I still made money.

You probably have some anecdotes of times you got ripped off.